

not all companies could go public, it was expected that leasing companies would fill that gap. That became a sort of self-fulfilling prophecy. Many leasing companies flocked to the market to raise capital. The sums raised were in the range of Rs 60 lakh to Rs 1 crore. The boom in leasing companies soon spread to other segments too. On 11 February 1986, there were 110 issues launched in a single day. I don't think I will see anything like that in my lifetime again. A handful of issues gave good returns, but an overwhelming majority of them bombed.

'Public memory being short, caution was once again thrown to the winds when mini-steel and mini-cement companies started hitting the market to raise capital in the late 1980s. And now there is some new fad going on. This will keep happening every few years no matter what history has to show. This short-lived public memory is what has kept the stock market going all these years.'

Our discussions with GB did put things in perspective, but one could really learn things only from first-hand experience.

FII activity in the Indian market kept rising steadily. There were more foreign fund managers now staying at five-star hotels. They were inundated with calls and visits from brokers seeking business from them.

Prakash was quite clued in about the gossip on Dalal Street, and would let me in on some of the lurid details.

'Mr X is quite thick with some of the fund managers. Do you know why, Lala?' he would ask me with a wicked smile. I had heard some stories too, and the cast in every story would usually be different even if the plot was the same.

'Go ahead, Prakash, enlighten me,' I would egg him on.

'Well, Mr X goes to the fund managers armed with two lists: one has investment ideas and the other has the names of high-society call girls and B-grade actresses. No prizes for guessing which list helps clinch the business,' Prakash would say with a chuckle.

'But in all fairness,' he continued, 'Mr X is far more professional compared with Mr Y, who goes to meet fund managers with just one list.' More laughter would follow.

In 1993-94, around 770 companies raised over Rs 13,000 crore through IPOs. Investors were lapping up everything on offer, never mind the credentials of the promoters or the business models. There was one high-profile fiasco, though: Morgan Stanley's maiden mutual fund scheme